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# AfroGo Logistics – Investor Narrative Summary

## 1. The Big Idea in One Sentence

AfroGo Logistics is building a premium, township-inclusive last-mile delivery network for South Africa, combining an Uber-style driver marketplace, high-density pickup points, and a world-class cloud platform - starting in Gauteng and scaling nationally.

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## 2. Problem & Market Opportunity

South African e-commerce is growing quickly, but **last-mile delivery is still failing three critical tests**:

1. **Township inclusion:**  
Most pickup and delivery networks are biased toward suburbs and formal retail. Townships and commuter hubs have **uneven coverage, unreliable SLAs, and poor CX**, despite being dense and highly active consumption zones.
2. **SME accessibility:**  
Smaller merchants and township businesses face **complex courier pricing, slow onboarding, and poor integration** with their e-commerce tools. They need a plug-and-play logistics partner that “just works”.
3. **Experience quality:**  
Customers are accustomed to ride-hailing-level UX (real-time tracking, clear ETAs, instant comms), but many couriers still deliver a **1990s experience**: vague tracking, manual calls, weak communication, and unreliable support.

At the same time:

- E-commerce and social commerce volumes are climbing year on year.
- Township and peri-urban markets are **massively under-served** by premium logistics.
- Merchants and marketplaces are actively looking for **more reliable, more transparent, and more inclusive** courier options.

This is the gap AfroGo is designed to own.

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### 3. AfroGo's Solution & Value Proposition

AfroGo Logistics (Pty) Ltd, founded by **Abel Sibusiso Khoza** (27, Pretoria), is a **tech-led last-mile platform** built specifically for South African realities.

#### Two Core Products

1. **AfroGo – Door-to-Door Delivery**
  - Premium delivery service for homes and businesses.
  - Designed SLA: **1–3 business days** within Gauteng.
  - Owner-drivers are paid per parcel, incentivised with **higher-than-market payouts**.
  - Ideal for merchants needing a smooth, branded, direct-to-door experience.
2. **AfroCollect – Pickup-Point Delivery**
  - Economy service where parcels are delivered to an **AfroGo Point** (shop, petrol station, mall tenant, township retailer, etc.).
  - Designed SLA: **2–4 business days** within Gauteng.
  - Customers collect at their convenience; merchants benefit from lower pricing with high reliability.

Both services are **fully tracked**, integrated into apps and dashboards, and designed to feel more like a modern ride-hailing app than a traditional courier.

#### Pricing (Launch Structure – Gauteng)

##### AfroCollect (Pickup Points):

- 1–5 kg: **R90**
- 5–10 kg: **R140**
- 10–15 kg: **R190**

##### AfroGo (Door-to-Door):

- 1–5 kg: **R120**
- 5–10 kg: **R180**
- 10–15 kg: **R230**

This positions AfroGo at **competitive but premium-justified levels**: fast SLAs, real-time tracking, richer notifications, and better partner incentives.

#### Network Strategy: 100 AfroGo Points in Gauteng

AfroGo's Gauteng layout is designed from a **network and routing perspective**, not just a store list:

- **100 AfroGo Points in Gauteng (mature state)**

- **42% in townships** (Soweto, Tembisa, Mamelodi, Soshanguve, Katlehong, Sebokeng, Alexandra, Diepsloot, Vosloorus, Kagiso, Orange Farm, etc.).
- 58% in high-foot-traffic urban nodes: malls, taxi ranks, petrol station convenience stores, CBDs.

Key focus:

- **Township coverage and commuter hubs** where competitors are weakest.
- Points designed to serve as “**mini depots**” where routes loop efficiently and parcels move in dense clusters, not scattered pins.

## 4. Operating Model – Asset-Light, Optimised for Scale

AfroGo is designed as a **capital-light logistics platform**, not a traditional asset-heavy courier.

### 4.1 No Fleet, Owner-Driver Model

- AfroGo **does not own vehicles**.
- Uses **independent owner-drivers**, paid **per parcel**:
  - **R45 per AfroGo (door) parcel**
  - **R35 per AfroCollect (hub ↔ AfroGo Point) parcel**
- Drivers go online/offline through the app, accepting **pre-built, optimised routes**.
- Routing engine targets **~30+ parcels per route**, staying within **08:00–17:00** operating hours:
  - Drivers start from the hub at **08:00**,
  - Complete deliveries and collections,
  - Return to hub by **17:00** with any undelivered parcels for reconciliation and re-planning.

This aligns driver earnings, service quality, and day-light safety.

### 4.2 No Warehouse Capex, 3PL Hub Strategy

- AfroGo leverages a professional 3PL (e.g. Parcelninja in Linbro Park, Johannesburg) as its **central Gauteng hub**:
  - Storage
  - Sorting and consolidation
  - AfroGo-branded over-bagging / labelling
- This single hub serves:
  - Johannesburg & Soweto
  - Pretoria/Tshwane
  - East Rand, West Rand, Vaal

Satellite hubs can be added later as volumes grow, but the **Phase 1 model is profitable around one central Gauteng hub**.

### 4.3 AfroGo Points – Partner Incentives

AfroGo Points are paid **per parcel handled**, by weight band:

- 0–5 kg: **R15**
- 5–10 kg: **R20**
- 10–15 kg: **R25**

This is intentionally **more attractive than many incumbent pickup-point arrangements**, helping AfroGo secure high-quality partners in strategic locations.

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## 5. Technology & Platform – Built to Enterprise Standards from Day One

AfroGo is not “just a courier”; it is a **full logistics platform** engineered to enterprise standards.

### 5.1 Architecture

- Cloud: **AWS (af-south-1, Cape Town)**
- Core pattern: **microservices + event-driven + serverless**
- Compute: AWS Lambda & Fargate
- Data: DynamoDB (ops), Aurora PostgreSQL (finance), Redis (geo/cache), S3 (files), Redshift (warehouse), OpenSearch (search/logs)
- Eventing: EventBridge & Kinesis
- ML/AI: SageMaker + Bedrock for forecasting, routing optimisation, fraud detection, and support assistance
- Identity & auth: Cognito (JWT, OAuth2), Smile Identity for KYC (drivers & points)

The platform is designed around **SLOs** such as:

- `Create Parcel` API under 700 ms for 99.9% of calls
- Tracking API under 500 ms for 99.9% of calls
- Low error rates on core flows (parcel creation, payment, scans)

### 5.2 Product Stack

AfroGo will ship a **full suite of apps and portals**:

- **Customer Mobile App & Web Portal:**
  - Create shipments, pay, track, manage addresses, get support.
- **Merchant / Business Dashboard:**
  - Bulk upload shipments, API integration, billing, analytics.

- **Driver App:**
  - Routing, parcel scanning, navigation (deep-link into Google Maps/Waze), POD capture, earnings view.
- **AfroGo Point Partner App:**
  - Scan-in/scan-out, customer verification (OTP/QR), commission tracking.
- **Ops & Admin Dashboards:**
  - Live map of routes, SLA monitoring, exceptions, manual overrides.
- **Routing Engine:**
  - VRP/TSP optimisation (Google OR-Tools), AWS Location for distance and routing, ML-enhanced travel-time estimation.
- **Finance & Billing Module:**
  - Captures all deliveries, calculates revenue, driver payouts, point commissions, 3PL costs; syncs with **Sage Business Cloud Accounting**.
- **Support & Communications:**
  - Ticketing, WhatsApp (via 360dialog), SMS, email, push notifications, AI-assisted responses.

Everything is built **in-house by the founder**, lowering initial dev cost while still adhering to enterprise design and security patterns.

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## 6. Economics & Scaling Logic

AfroGo's unit economics are structured around **healthy margins per parcel** with clear variable components:

- **Revenue:** based on the published price grids for AfroGo and AfroCollect.
- **Variable costs per parcel** typically include:
  - Driver payout (R45 or R35)
  - AfroGo Point commission (for AfroCollect)
  - 3PL hub handling fee
  - AfroGo-branded sachet & labelling
  - SMS and notifications
  - Payment gateway fees (via PayFast)

The model is designed so that:

- **Gross margin per parcel** remains positive and attractive even at early volume,
- Margins improve as:
  - Route density increases,
  - SMS and processing costs benefit from scale,
  - Platform overhead is amortised over more parcels.

At scale, AfroGo's profitability is driven by:

- Dense routes in Gauteng (especially townships and CBDs).
  - A repeat base of B2B merchants pushing predictable volumes.
  - Incremental revenue from value-added services (outsourced fulfilment, reverse logistics, integrations).
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## 7. Go-to-Market & Growth Strategy

### Phase 1 – Gauteng Launch (Months 0–12)

- Set up the **central hub** in Linbro Park/JHB logistics belt with 3PL.
- Launch with a **smaller initial AfroGo Points footprint**, then build towards 100 in Gauteng.
- Acquire core SMB merchants:
  - Online fashion, beauty, gadgets, township-based brands, social sellers.
- Integrate with **Shopify and WooCommerce** (AfroGo shipping methods at checkout).
- Establish AfroGo as a preferred delivery option for **township-heavy customer bases**.

### Phase 2 – Platform Integrations & Network Deepening

- Become a **listed courier option** inside shipping aggregators (e.g. Bob Go) to gain broad merchant access.
- Expand AfroGo Points aggressively in:
  - Soweto, Tembisa, Mamelodi, Soshanguve, Katlehong, Sebokeng, etc.
- Launch **SME fulfilment** (storage + pick & pack via 3PL) with light markups to drive more AfroGo parcel volume.

### Phase 3 – Provincial Expansion

- Once Gauteng is economically stable and operations are tight, extend the model to:
  - Western Cape (Cape Town),
  - KwaZulu-Natal (Durban, Pietermaritzburg),
  - And then nation-wide.

Expansion will follow the same **hub + owner-driver + pickup-point** blueprint, tuned for each city.

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## 8. Team & Governance

### Founder – Abel Sibusiso Khoza (CEO & CTO)

- Architect and lead developer of the AfroGo platform.
- Deep technical capability to build and operate a complex logistics stack.

- Direct understanding of township realities, commuter flows, and local customer expectations.

### Planned Key Hires (Year 1–2):

- **COO** – experienced logistics operator to own day-to-day network and SLAs.
- **CFO** – to lead financial planning, investor relations, and risk management.
- **Head of Sales & Partnerships** – to scale merchant acquisition and AfroGo Point relationships.

Governance will be strengthened with:

- A small **advisory board** of logistics, fintech, and retail experts.
- Regular reporting cadence and data-rich dashboards for investors.

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## 9. Funding, Use of Proceeds & Ask

AfroGo is initially seeded with **founder sweat equity and lean startup capital**, with the founder building all core technology.

The company is now positioned to raise **external seed capital** to:

1. **Harden and launch the Gauteng platform at scale**, not as a side project.
2. **Secure and on-board high-value AfroGo Points**, including in major malls and commuter hubs.
3. **Acquire merchants and platform partnerships** at speed.
4. Provide **sufficient runway** to reach meaningful monthly volumes and operational break-even.

Illustrative use of seed funds:

- 3PL onboarding, operational deposits, and first months of hub operations.
- Initial bulk purchase of **AfroGo-branded packaging** and operational hardware for points (scanners, signage).
- Go-to-market budget:
  - Merchant sales & onboarding,
  - Digital marketing,
  - Community-focused marketing in townships,
  - Integration and co-marketing with platforms (Shopify, WooCommerce, aggregators).
- Early critical hires (Ops, Sales/Partnerships, Finance support).
- Working capital cushion for high-growth months and scaling inventory of points and drivers.

The target is to use this round to:

- **Prove AfroGo's economics and execution in Gauteng,**
  - **Build a defensible network of 100+ AfroGo Points,**
  - **Achieve consistent monthly parcel volumes and attractive gross margins,**
  - **And position the company for a larger growth round to expand nationally.**
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## 10. Why AfroGo Wins

1. **Purpose-built for South Africa and its townships** – most incumbents are either generic global models or overly focused on suburban / mall delivery.
2. **Asset-light but deeply integrated** – no fleet or warehouses on the balance sheet, but a full-stack platform controlling routing, CX, and partner economics.
3. **Premium technology with founder-led development** – no outsourced Frankenstein stack; AfroGo is engineered coherently for scale and reliability.
4. **Aligned incentives** – drivers and AfroGo Points are paid competitively, making AfroGo a partner of choice in an industry that often underpays the last-mile.
5. **Clear path to national scale** – a replicable hub + driver + pickup-point model, once proven in Gauteng, can be rolled out city by city.

AfroGo is not trying to be “just another courier”. It is building the **digital and physical fabric** that finally makes **fast, reliable, transparent delivery** work for **all parts of South Africa**—from Sandton to Soweto, from Pretoria CBD to Mamelodi.

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